Different people have different needs and different investment goals and they use different investment vehicles. Say, a person from Mumbai has to go to a hotel in Delhi. He would use either a train or car or bus or airplane to go from Mumbai to Delhi. On reaching Delhi, to go to his hotel he could choose a bicycle, a taxi, a bus, a rickshaw, a car or he could even walk it up. In his plan he has a choice of vehicles and he would choose what suits him best. Similarly, when one has an investment plan in place one can choose one or more investment vehicles according to one's needs and means.

Trends and Diversification

We live in a world of continuous change. Good times follow bad and vice versa. Nothing is permanent. We need to be aware of changing trends so that we can benefit from them.

We have just talked about diversification into different asset classes according to our investment plan. But that does not mean we stay invested in just those asset classes. We cannot get married to them. They all are there to serve a purpose and once that is served we need to move on to a new asset class. Alternatively you may have an asset class that has appreciated considerably due to positive trends in that asset class. Here we need to remember the law of nature. Whatever goes up must come down and vice versa. So we need to make a call. Sell a portion of that asset class which resembles the profit and move that money to another asset class where the trend is bearish. What happens? The asset remains intact, but the money earned from that asset class has moved to a different asset class where the chances of an upside are much more. Thus you are increasing the velocity of your money.

Now one would say that this is quite risky and tantamount to speculating. Yes, it could be risky if you are trying to time the markets and get in and out of a stock. But here we are talking about trends in an asset class. Take for instance the real estate market which was very low and subdued in the years between 1998 and 2003. Prior to that it was very good. The trend changed and if anyone had invested in the real estate market when the